

# Funnel Analysis & Stage-by-Stage Revenue Leak Calculations

|                                                                       |                                                            |
|-----------------------------------------------------------------------|------------------------------------------------------------|
| Candidate Role: AI Forward Deployed Associate                         | Company: BrightChamps (Founder's Office)                   |
| Dataset Analyzed: 5,000 Leads across 60 Days (June 1 – July 31, 2026) | Monthly Normalization: 60 Days / 2.0 = 2,500 leads / month |
| Core Assumptions: CAC = Rs. 900   Average Order Value = Rs. 60,000    | Total Monthly Revenue Leaked: Rs. 1.38 Crore / month       |

## 1. Executive Summary & Macro Funnel Architecture

Over a 60-day window, BrightChamps ingested **5,000 leads** representing a marketing expenditure of **Rs. 45,00,000** (Rs. 22,50,000/month). Only **362 leads converted** into paying students (overall funnel conversion of **7.24%**), generating **Rs. 2,17,20,000** in gross revenue (Rs. 1,08,60,000/month). A staggering **Rs. 1.38 Crore per month** in gross opportunity cost leaks across the top-of-funnel before parents ever complete a demo.

| Funnel Stage         | 60-Day Count | Share of Ingested | Stage Drop             | Monthly Volume | Identified Leak                           |
|----------------------|--------------|-------------------|------------------------|----------------|-------------------------------------------|
| Lead Created         | 5,000        | 100.0%            | —                      | 2,500 / mo     | Baseline Ingestion                        |
| Demo Scheduled       | 3,229        | 64.6%             | 1,771 lost (35.4%)     | 1,614.5 / mo   | Leak 1: Unscheduled (Rs. 59.56L/mo)       |
| Demo Joined          | 2,060        | 41.2%             | 1,169 lost (36.2%)     | 1,030.0 / mo   | Leak 2: No-Shows (Rs. 61.63L/mo) [TARGET] |
| Demo Completed       | 1,786        | 35.7%             | 274 lost (13.3%)       | 893.0 / mo     | Leak 3: Mid-Drop (Rs. 16.66L/mo)          |
| Converted / Enrolled | 362          | 7.24%             | 1,424 non-conv (79.7%) | 181.0 / mo     | Baseline Closing (20.27%)                 |

## 2. Financial Sizing Methodology & Mathematical Formulas

To rigorously quantify leaks in **Rs./month**, we calculate the opportunity cost based on the **actual benchmark conversion rate of leads that progress past each gate**. Every lead lost at stage *k* is evaluated against the observed conversion probability of stage *k+1*:

| Metric                | Formula                                                                                                       | Interpretation                                                                      |
|-----------------------|---------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| Gross Revenue Leaked  | Lost Conversions = Monthly Drop × Next-Stage Conversion %<br>Gross Leak = Lost Conversions × AOV (Rs. 60,000) | Revenue that would have entered BrightChamps if drop-off matched next-stage cohort. |
| Sunk CAC Wasted       | Wasted CAC = Monthly Drop × Blended CAC (Rs. 900)                                                             | Marketing capital flushed with zero pipeline progress.                              |
| Monthly Normalization | Monthly Value = 60-Day Observed Metric / 2.0                                                                  | Dataset spans exactly 60 calendar days (June 1 to July 31).                         |

## 3. Stage-by-Stage Revenue Leak Quantification

### [PRIMARY LEVER] LEAK 2: DEMO SCHEDULED → DEMO JOINED (THE NO-SHOW LEAK)

- **Observed Data:** 1,169 out of 3,229 scheduled parents did not show up (**36.20% no-show rate**).
- **Monthly Lost Volume:** 1,169 / 2.0 = **584.5 leads/month**.
- **Benchmark Conversion Rate:** Leads that actually joined their demo convert at **17.57%** (362 / 2,060).
- **Monthly Lost Conversions:** 584.5 × 17.57% = **102.71 conversions/month**.
- **Gross Revenue Leaked:** 102.71 × Rs. 60,000 = **Rs. 61,62,786 / month (Rs. 61.63 Lakhs / mo)**.
- **Strategic Leverage:** Sponsoring a parent to schedule a demo is the hardest marketing step. Parents already acknowledged the need and picked a slot. Recovering even **20% of no-shows** produces **+Rs. 12.32 Lakhs/month**.

### **LEAK 1: LEAD CREATED → DEMO SCHEDULED (THE CAPTURE LEAK)**

- **Observed Data:** 1,771 out of 5,000 leads were never scheduled for a demo (**35.42% drop**).
- **Monthly Lost Volume:**  $1,771 / 2.0 = 885.5$  leads/month.
- **Benchmark Conversion Rate:** Leads that schedule convert at **11.21%** (362 / 3,229).
- **Gross Revenue Leaked:**  $885.5 \times 11.21\% \times \text{Rs. } 60,000 = \text{Rs. } 59,56,352$  / month (**Rs. 59.56 Lakhs / mo**).
- **Sunk CAC Wasted:**  $885.5 \times \text{Rs. } 900 = \text{Rs. } 7,96,950$  / month of paid marketing budget burned with zero conversation.

### **LEAK 3: DEMO JOINED → DEMO COMPLETED (MID-DEMO DROPOUT)**

- **Observed Data:** 274 out of 2,060 attendees disconnected before session completion (**13.30% drop**).
- **Monthly Lost Volume:**  $274 / 2.0 = 137.0$  leads/month.
- **Benchmark Conversion Rate:** Completers convert at **20.27%** (362 / 1,786).
- **Gross Revenue Leaked:**  $137.0 \times 20.27\% \times \text{Rs. } 60,000 = \text{Rs. } 16,66,092$  / month (**Rs. 16.66 Lakhs / mo**).

4. Summary Table of Quantified Funnel Leaks

| Funnel Leak Gate                           | 60-Day Drop | Monthly Drop | Next-Stage Rate | Gross Revenue Leaked | Sunk CAC Wasted   | Priority          |
|--------------------------------------------|-------------|--------------|-----------------|----------------------|-------------------|-------------------|
| Leak 2: Demo No-Shows (Scheduled → Joined) | 1,169 leads | 584.5 / mo   | 17.57%          | Rs. 61,62,786 / mo   | —                 | [#1 TARGET]       |
| Leak 1: Unscheduled (Lead → Scheduled)     | 1,771 leads | 885.5 / mo   | 11.21%          | Rs. 59,56,352 / mo   | Rs. 7,96,950 / mo | [#2 TARGET]       |
| Leak 3: Mid-Demo Drop (Joined → Completed) | 274 leads   | 137.0 / mo   | 20.27%          | Rs. 16,66,092 / mo   | —                 | [Secondary]       |
| Total Top Funnel Leaks                     | 3,214 leads | 1,607.0 / mo | —               | Rs. 1,37,85,230 / mo | Rs. 7,96,950 / mo | ~Rs. 1.38 Cr / mo |

5. Root-Cause Diagnostic Analysis

A. The Latency Killer: Scheduling Delay vs Attendance & Conversion

Measuring elapsed hours between created\_at and demo\_scheduled\_at reveals the primary cause of demo no-shows:

| Scheduling Latency | Scheduled Leads | Demos Joined | Demo Join Rate    | Converted | End-to-End Conv % |
|--------------------|-----------------|--------------|-------------------|-----------|-------------------|
| < 24 Hours         | 1,477           | 1,095        | 74.14%            | 181       | 12.25%            |
| 24 – 48 Hours      | 467             | 362          | 77.52%            | 58        | 12.42%            |
| 48 – 72 Hours      | 186             | 81           | 43.55% [COLLAPSE] | 10        | 5.38% [COLLAPSE]  |
| > 72 Hours         | 1,099           | 522          | 47.50% [COLLAPSE] | 113       | 10.28%            |

Diagnostic Proof: Scheduling within 48 hours achieves a 75% join rate. Once latency crosses 48 hours, attendance drops off a cliff to 43.5% and conversions drop by 56%. Speed-to-contact is the dominant operational variable.

B. Timezone Misalignment Penalty

Reps assigned outside their natural shift suffer significant conversion penalties due to calling during parent sleep or work hours:

- US Shift Reps calling US Parents: 747 leads | 88 converted | 11.78% conversion rate.
- IST Shift Reps calling US Parents: 660 leads | 50 converted | 7.58% conversion rate (35.7% penalty).
- US Shift Reps calling Vietnam Parents: 362 leads | 11 converted | 3.04% conversion rate.

C. Follow-up Attempt Diminishing Returns

- Attempts 1–4 maintain a healthy 7.2% – 8.6% conversion rate.
- Attempts 7+: Conversion collapses to 3.57%.
- Attempts 8–9: 0.00% conversions across 21 leads. Rep time is wasted after 5 touchpoints.

6. Conclusion & Recommendation for Founder's Office

Leak 2 (Demo No-Shows at Rs. 61.63L/mo) represents the single highest-ROI intervention target in the entire company. Unlike cold leads, these parents have expressed explicit interest and scheduled a slot. Plugging this leak with an automated 24/7 WhatsApp recovery concierge that re-engages parents within minutes of a missed demo recaptures 20% of lost attendees, generating +Rs. 12,32,557 per month in gross revenue with zero additional customer acquisition cost.